

and reducing the inherent risks of cash handling, such as loss, theft or fraud. Customers need not use middlemen for money transfers anymore and, therefore experience increased transparency.

Mobile money allows easy access for customers who would otherwise have to travel long distances to send and receive money or pay bills. Purchasing online goods and services has become easier. There is also an option for manual or automatic payouts and inclusion/exclusion of blocked accounts.

Mobile money provides banking services to out-of-reach, low-income people who are geographically inaccessible. These platforms can be accessed through most basic cell-phones, have low transaction costs and are distributed by vast networks of agents that provide person-to-person contact and training to those unfamiliar with the technology.

Government regulations for making mobile money model a success

The Indian government is working with major MNOs to send payments for welfare schemes directly to people's phones. Non-bank providers of mobile money services can also help in improving financial inclusion. So, the government is setting up more enabling regulatory frameworks.

1. An open and level-playing field allows non-bank mobile money providers to operate freely in the market.

2. Regulations ensure that customer funds are protected by non-bank providers, who are licensed to provide mobile money services.

3. There are regulations involved with interoperability, such as ensuring compliance and KYC rules.

4. Establishment of a collaborative and consultative environment between regulators and private providers is found to be an important precondition for a successful regulatory framework.

Development challenges

Low levels of financial and technological literacy among target customers have made demand a difficult proposition for businesses. Person-to-person interactions and demonstrations,

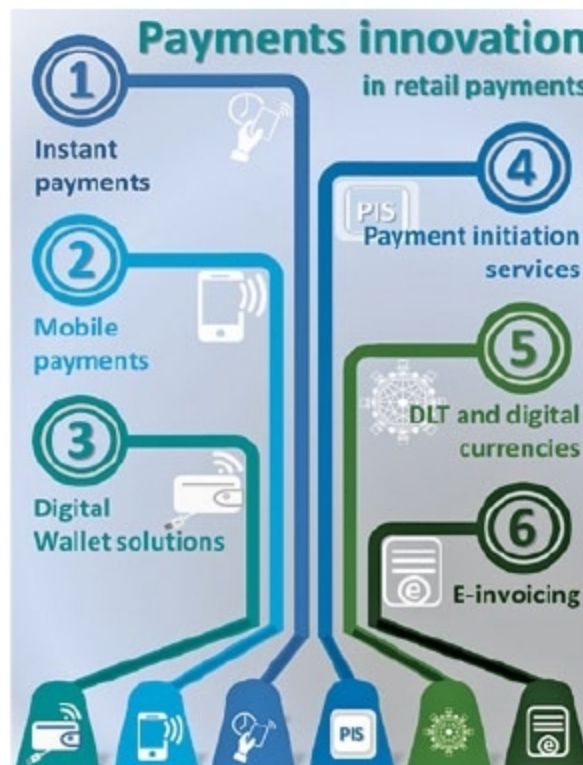


Fig. 2: Types of digital payments (Credit: Bank of Greece)

integrated trainings and developing easy-to-use products have helped overcome this.

Lack of interoperability between networks is a key constraint in some areas. Being able to use the service on only one network restricts reach and makes transactions cumbersome.

Mobile money requires compelling use cases to bring customers onboard. Adoption of mobile money usually requires multi-party involvement (agents, governments and corporations). Hence, a system that can support a wide variety of use cases and facilitate trust between various organisations is needed.

Multi-regulation, socio-political-economic environment differs from region to region. Hence, the solution should be customised to adhere to all of the above.

The roadmap for mobile money

Avigad concludes, "Eventually, e-payments will take over the cash completely. But it will take time."

"In the coming days, mobile money will play an important role in micro-finance, which covers services like micro-saving, micro-credit, micro-insurance and so on. The lines between mobile money and traditional financial services will continue to blur, and the number of non-financial institutions entering the space will increase."

Somarouthu adds, "Over the last

few years, India has experienced exponential growth in digital financial transactions. What began primarily as a convenient mode of payment for booking cabs and ordering meals has expanded into a necessity, especially post demonetisation of old ₹ 500 and ₹ 1000 bank notes, in November 2016. From bill payments to buying groceries, the country has come a long way in accepting, adapting and, eventually, preferring digital money over cash."

The government has been pushing digital payments in a much stronger manner now. This has resulted in significant changes in consumer behaviour. With focused government policies, there is a sea of change in the mindset of Indian customers and enterprises.

Mobile money is experiencing fast-track growth in Indian and international markets. It has disrupted traditional banking and financial systems.

Cost per transaction will follow the universal law wherein it will keep reducing until it hits a steady state and the business model changes. Already newer commercial models are coming into play, offering unlimited transactions for a flat fee.

Phlaphongphanich agrees, "As more consumers get the feel of the cashless economy using mobile banking and mobile wallets, e-payments will take over the cash completely. Ease of transfer and cost to consumers for using cashless services outweighs the convenience and cost of using cash. Merchants, mobile banking and mobile wallets along with government initiatives and policies to adopt this technology will be major drivers."

"The future is digital banking or digital financial platforms, where financial services are all integrated to better suit the requirements of a cashless economy. The financial industry will see huge changes with the introduction of decentralised services like blockchain and digital assets being introduced to consumers."

"Surely, consumers will choose lowest fees and most efficient services. Thus, cost of transactions will have to be lowered, and branchless and AI technologies to cater to this vision will have to be adopted." **EFY**